TWGHs Wong Fut Nam College

Mock Examination

2019 -2020

Form 6 Economics (Paper 2)

Setter: Lee Sze Yin

Date: 12 February 2020

Total marks: 120 marks

Time: 10:15 a.m. – 12:45 p.m.

Total number of pages: 24

Time allowed: 2 hours 30 mins

Name: _____ Class:____ Class no.:____ Mark:_____

Instructions:

1. This paper consists of three sections, A, B and C. **ANSWER ALL QUESTIONS.**
2. Write your answers in the spaces provided in this Question-Answer Book. Do not write in the margins. Answers written in the margins will not be marked.
3. Supplementary answer sheets will be supplied on request. Write your name and student number, mark the question number on each sheet.

Section A (44 marks)

1. Online independent food delivery company, such as Delieveroo and Foodpanda deliver foods from the restaurants to customers when they place an order on the internet. An extra delivery fee is added on the dishes they have ordered.

   (a) Explain, in terms of opportunity cost, why it is *not necessarily* more expensive for customers to order food from food delivery company than having their meal in the restaurants. (3 marks)

   (b) Explain whether the opportunity cost would change when the delivery was late for half an hour due to traffic congestion. (2 marks)

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2. Eddie is a farmer planting flowers in the New Territories. He transports his flowers to Annie, who uses the flower to decorate her restaurant.

(a) In which type(s) of production is Eddie involved? (2 marks)

(b) To what type(s) of factor of production does Eddie belong? (2 marks)

(c) Is the flower used in Annie's restaurant a consumer good or producer good? (2 marks)

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3. The table below shows the input-output relationship of a firm.

Machine (units)	Labour (units)	Average output of labour (units)
1	1	10
2	2	11
3	3	13
4	4	13
5	5	12

State the law of diminishing marginal returns and explain whether the above data illustrate the law. (5 marks)

4. In Tuen Mun Park, it is reported that a number of people stage music performances without permission from the Leisure and Cultural Services Department (LCSD), and some performers generate loud noise by using amplifiers during their performances. Explain how this behaviour may involve externality. (3 marks)

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5. Study the following data about an economy.

Year	1	2	3
Real GDP ($ billion)	300	300	300
GDP deflator	100	150	200

(a) Calculate the nominal GDP in Year 2 and Year 3. (2 marks)

(b) Based on the result in (a), explain why the real GDP is a better indicator of economic welfare than the nominal GDP. (3 marks)

(c) Based on the GDP deflator from Year 2 to Year 3, what economic phenomenon is illustrated? (1 mark)

(d) Apart from the above data, what indicator can be used to measure the economic phenomenon mentioned in (c), explain why this indicator is a better measurement of the cost of living? (2 marks)

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6. The following table shows the balance sheet of a banking system.

Assets ($ million)		Liabilities ($ million)	
Reserves	250	Deposits	1250
Loans	1000		

Suppose the legal reserve ratio is 16% and the public always holds $100 million cash.

(a) Calculate the excess reserves of the banking system. (1 mark)

(b) Calculate the actual banking multiplier. (1 mark)

Suppose the public withdraws $70 million from the banking system and holds as cash.

(c) Calculate the new monetary base. Show your workings. (2 marks)

(d) Calculate the maximum possible change in money supply. (3 marks)

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7. A restaurant group issues mooncake coupons worth $100 each before Mid-Autumn Festival. Customers may use the coupons at any restaurants of the group.

(a) Explain whether the mooncake coupons are money or not. (2 marks)

(b) Define inflation. Explain whether the mooncake coupons are a better store of value than money when there is an inflation. (3 marks)

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8. The following table shows the quantity of Textiles or Computers that two countries can produce with all of their resources.

	Textiles (units)		Computers (units)
Country A	12	OR	6
Country B	25	OR	20

(a) Which country has a comparative advantage in producing textiles? Explain. (3 marks)

(b) If the terms of trade is 0.6 units of computers = 1 unit of textiles, calculate the per unit gain for each unit of textile imported for textile importing country. (2 marks)

END OF SECTION A

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Section B (60 marks)

9. The housing property market is said to be overheated for years and many young people find it unaffordable to pay for the property. As a result, most people will apply for a mortgage loan, which people need to repay the money plus interest later.

(a) Why people need to pay an interest rate higher than the inflation rate? (2 marks)

In the last policy address, the government raises the upper limit of the value of properties eligible for a mortgage loan. As a result, young people borrow more money from the bank to finance their purchase. For example, in buying a $6 million property:

	Original	New
Mortgage loan	80%	90%
Down payment (首期)	20% ($1,200,000)	10% ($600,000)

(b) Explain, without the aid of a diagram, why the above policy may *not necessarily* help people buy a property. (3 marks)

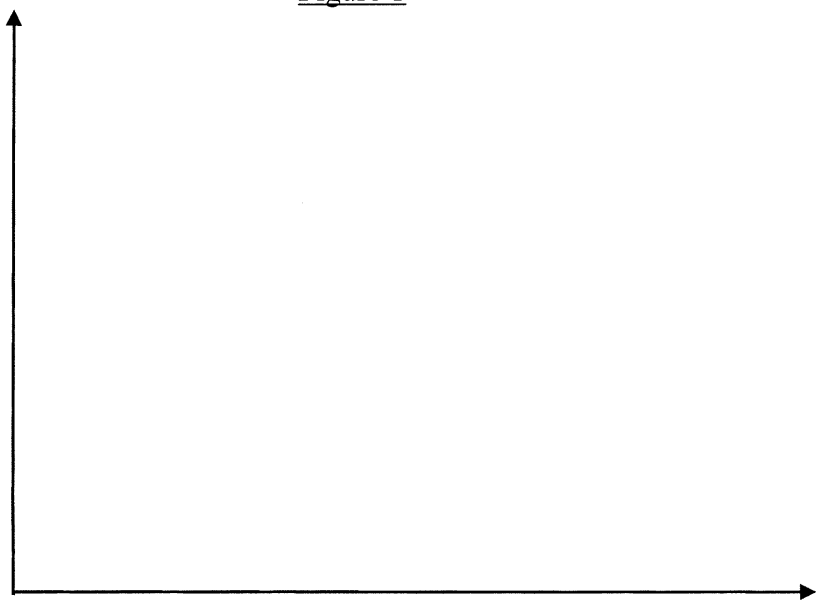
In order to reduce people's burden on high cost of living. Some politicians suggest reintroducing the rent control.

(c) Explain why the rent control may *not necessarily* benefit the tenants. Illustrate your answer with a supply-demand diagram in Figure 1. (4 marks)

Some people suggest imposing a vacancy tax (空置稅) together with rent control in helping to solve the living problem of citizens.

(d) Using the same diagram in (c), explain how the above tax would help lessen the problem mentioned in (c), and how the efficiency is affected. (4 marks)

Figure 1



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10. In Hong Kong there are two major on-demand delivery van services providers, they are GOGOVAN and LALAMOVE. People who want to a delivery van service can simply place an order from the mobile application.

(a) Identify the market structure of the above market. List TWO features of this market structure. (3 marks)

(b) Is the on-demand delivery van service a public good? (3 marks)

In 2017, GOGOVAN merged with 58 Suyun (58 速運), and expanded its business to 110 cities in Mainland. The CEO of GOGOVAN also planned to list the company in the Hong Kong stock exchange.

(c) Explain what type of expansion is involved. (2 marks)

(d) Explain ONE advantage of GOGOVAN merging with 58 Suyun. (2 marks)

(e) Give ONE advantage and ONE disadvantage to GOGOVAN when it changes from a private limited company to a listed company. (2 marks)

GOGOVAN does not employ drivers directly, but it charges a part of transportation fee as commission after the drivers have completed the services.

(f) Identify the payment method and explain ONE advantage of this payment method from the viewpoint of GOGOVAN. (2 marks)

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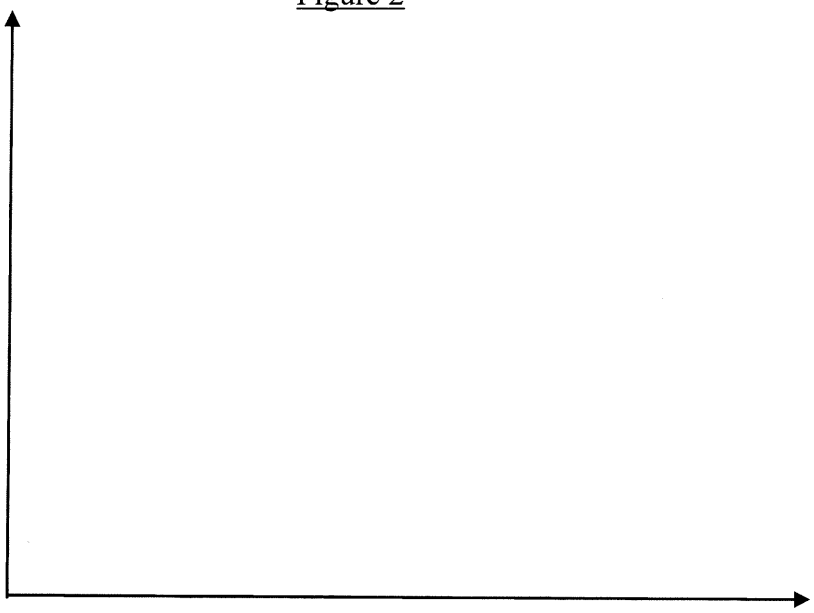
11. In September 2019, the People's Bank of China lowered the required reserve ratio for the third time this year to 13% as an easing measure under the growing pressure from escalating U.S. tariff.

(a) Explain how the U.S. raising the tariff on Chinese goods affect the balance of payments accounts in China. (2 marks)

(b) Explain how the U.S. raising the tariff on Chinese goods affect the output level in China. Illustrate your answer in Figure 2. (4 marks)

(c) Explain how the above monetary policy can offset the effects on output level in part (b). Illustrate your answer in the same diagram. (4 marks)

Figure 2



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12. In 2016, Hong Kong government introduced the Low-income Working Family Allowance (LIFA) Scheme, which was later renamed as the "Working Family Allowance" (WFA) (在職家庭津貼) Scheme in 2018.

Source A: Hong Kong's Gini coefficient

Year	2006	2011	2016
Gini coefficient based on original household income	0.533	0.537	0.539
Gini coefficient based on post-tax post-social transfer household income	0.475	0.475	0.473

Source B: Eligibility Criteria for applying the WFA

A family of two or more members meets the income and asset limits and the applicant meets the working hour requirements can get subsidy ranging from $400 to $1200 per month.

	Full-rate monthly allowance	3/4-rate monthly allowance	Half-rate monthly allowance
Basic Allowance (monthly working hours ≥ 144 hours)	$800	$600	$400
Medium Allowance (monthly working hours ≥ 168 hours)	$1,000	$750	$500
Higher Allowance (monthly working hours ≥ 192hours)	$1,200	$900	$600

The eligibility of applying for a full-rate monthly allowance or 3/4-rate monthly allowance or half-rate monthly allowance depends on their monthly household income (referring to the following table).

The income limits for the WFA:

Number of family members	Monthly Household Income Upper Limits for Full-rate Allowances	Monthly Household Income Upper Limits for 3/4-rate Allowances	Monthly Household Income Upper Limits for Half-rate Allowances
2 people	$14,500	$17,400	$20,300
3 people	$17,500	$21,000	$24,500
4 people	$21,600	$25,900	$30,300
…	…	…	…
10 people or more	$23,300	$27,900	$32,600

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Source C: The government official's comment on the social welfare in Hong Kong

The existing Comprehensive Social Security Assistance (CSSA) Scheme (綜合社會保障援助計劃) provides a safety net for those who cannot support themselves financially. It is designed to bring their income up to a prescribed level to meet their basic needs.

On the other hand, the Working Family Allowance (WFA) Scheme aims at encouraging self-reliance and easing inter-generational poverty. The scheme also encourages more elderly and housewives to re-enter the labour market.

Source D: A newspaper article written by an economist

Compared with the minimum wage, the WFA scheme will not increase expense to employers or unemployment rates. However, it may encourage employers to reduce workers' wages. It may also encourage workers to find comfortable jobs with lower wages enabling them to apply for the WFA. This may worsen the labour shortage in some industries, such as the catering industry.

(a) With reference to **Source A**, describe the change in Hong Kong's income inequality based on post-tax post-social transfer household income from 2006 to 2016. (2 marks)

(b) With reference to **Sources B** and **C**, explain how the implementation of the WFA will affect Hong Kong's income inequality. (2 marks)

(c) With reference to **Source D**, explain why the increase in disposable income of households applying for the WFA may be less than the subsidy received. (2 marks)

(d) Suppose the wage rate remains unchanged. With reference to **Source D**, explain with the aid of a supply-demand diagram why the implementation of the WFA may increase the catering industry's labour shortage. (5 marks)

For part (e), candidates are required to present their answer in an essay form. Criteria for marking will include the use of sources and economic theories, relevant content, logical presentation and clarity of expression.

(e) With reference to the above sources and your own knowledge in economics, discuss the effects of implementation of WFA on Hong Kong, including:

- aggregate output
- public finance
- equity
- one other economic variable. (12 marks)

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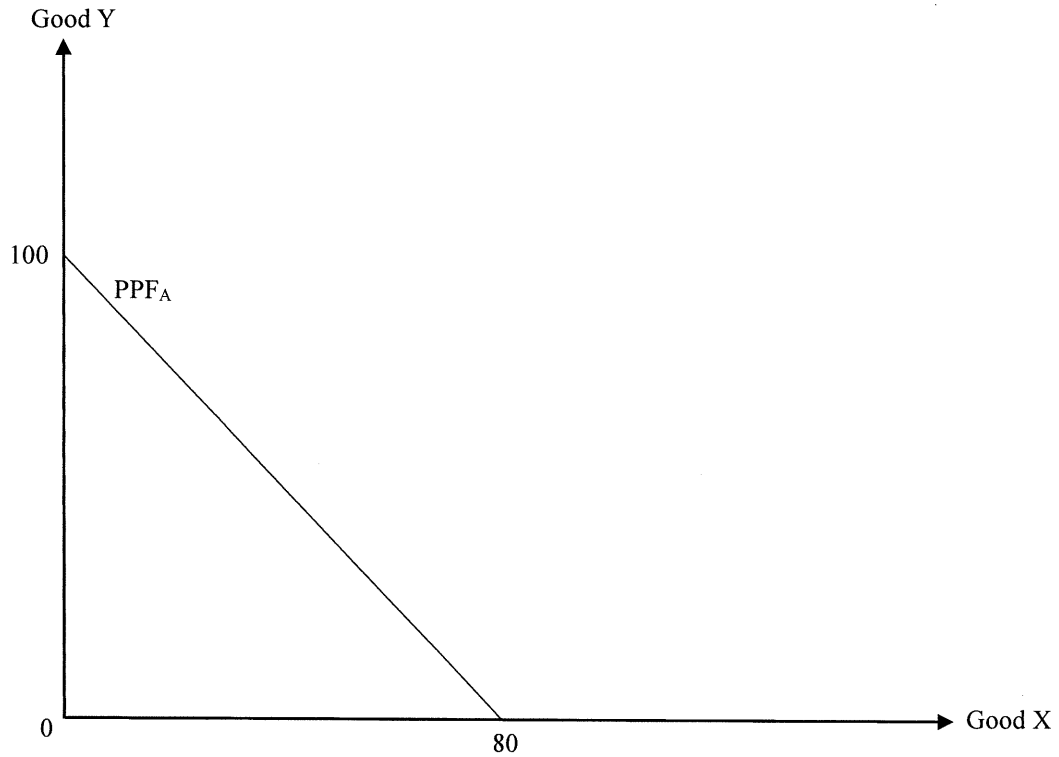
Section C (16 marks)

13. Figure 3 shows the production possibility frontier of Country A.

Figure 3



Suppose Country B is Country A's trading partner, which produces Good X and Good Y. Country B has 45 units of resources. Country B requires 0.5 units of resources to produce 1 unit of Good Y, and 1 unit of resources to produce 1 unit of Good X.

(a) Draw the production possibility frontier of Country B (PPF$_B$) in Figure 3. (1 mark)

(b) Explain which country has an absolute advantage in producing Good X. (2 marks)

Suppose both countries engage in complete specialization according to their comparative advantages and the terms of trade is 1 unit of Good X= 1.5 units of Good Y. Assume 20 units of Good X are traded. Indicate the following in Figure 3:

(c) (i) The production point for Country A (P_A). (1 mark)

(ii) The consumption possibility frontier of Country A (CPF$_A$). (1 mark)

(iii) The consumption point for Country A (C_A). (1 mark)

(iv) The volume of import and the volume of export. (2 marks)

If there is an earthquake in Country B and destroys half of the production plants for Good Y only, the output of Good Y will be cut by half, while there is no change in the amount of resources and production capacity of Good X.

(d) Explain, by drawing the new production possibility frontier of Country B (PPF$_B$'), if the original terms of trade is still mutually beneficial for both countries. (4 marks)

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The following table shows the information about Hong Kong and Singapore in 2019.

	Human Development Index (HDI) rank	Gross Naitonal Income (GNI) per capita (PPP$)
Hong Kong	4	60,221
Singapore	9	83,793

(e) (i) Explain **TWO** possible reasons why Hong Kong had a higher HDI rank than Singapore in 2019. (2 marks)

(ii) Suggest **ONE** possible policy that Hong Kong government can adopt to stimulate economic growth. (2 marks)

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